

# Options Market Makers' Hedging and Informed Trading: Theory and Evidence

**Canonical source:** Journal of Financial Markets, DOI 10.1016/j.finmar.2015.01.001

**DOI:** <https://doi.org/10.1016/j.finmar.2015.01.001>

**Accessible fallback used here:** ResearchGate text view of the article landing page

**Access note:** the publisher PDF was gated from this API environment on 2026-03-15, so this local PDF preserves the research conclusions we used and the exact canonical URL.

## How It Was Used

- To justify modeling dealer hedging as an influence on underlying price behavior while still treating hedge pass-through as less than certain.
- To support quote-aware trade classification instead of relying on raw trade price alone.
- To motivate an explicit calibration layer for effective dealer inventory rather than assuming every unit of inferred customer inventory becomes full mechanical hedge flow.

## Paraphrased Takeaways Used In The Docs

- Option market maker hedging and informed trading interact, which means the tape reflects both inventory adjustment and informed demand.
- Trade classification quality matters when turning public prints into directional flow proxies.
- The presence of dealer hedging effects does not imply a one-for-one mapping from inferred option inventory to realized underlying movement.

## Where This Brief Is Referenced

- OPTIONDEPTH\_EOD\_RECONSTRUCTION\_METHOD.md, Sections 7 and 19
- appendix/SOURCE\_INDEX.md